EUROPEAN COMMISSION

Directorate-General for Competition

OPINION

of the ADVISORY COMMITTEE on MERGERS

at its meeting on 04/02/2026

concerning a draft decision

in case M. 11956 - UMG / DOWNTOWN

RAPPORTEUR: ITALY

Concentration

1. The Advisory Committee (13 Member States) agrees with the Commission that the notified transaction constitutes a concentration within the meaning of Article 3(1)(b) of the Council Regulation (EC) No 139/2004 of 20.1.2004 on the control of concentrations between undertakings (the "**Merger Regulation**")[1].

Market definition

2. The Advisory Committee (13 Member States) agrees with the conclusions reached by the Commission in the draft Decision in relation to the definition of the relevant product and geographic markets for:

   a) The supply of A&L services (including plausible product market segmentations).

   b) The wholesale distribution of recorded music (including plausible product market segmentations).

   c) The supply of music publishing services (including plausible product market segmentations).

   d) The supply of stand-alone royalty accounting services to third parties.

Competitive assessment

3. The Advisory Committee (13 Member States) agrees with the Commission's assessment that the notified transaction is likely to significantly impede effective competition, as a result of non-horizontal non-coordinated effects as a result of UMG accessing commercially sensitive information of its rivals through the acquisition of Downtown's Curve product.

[1] OJ L 24, 29.1.2004, p. 1.

4. The Advisory Committee (13 Member States) agrees with the Commission's assessment that the notified transaction is unlikely to significantly impede effective competition as a result of:

    a. Horizontal non-coordinated effects in the EEA market for the wholesale digital distribution of recorded music.

    b. Horizontal non-coordinated effects in the EEA market for the supply of A&L services.

    c. Horizontal non-coordinated effects in the EEA market for the supply of self-aggregator/DIY platforms.

    d. Horizontal non-coordinated effects in the EEA market for the supply of music publishing services.

    e. Non-horizontal non-coordinated effects as a result of UMG accessing information on Downtown's CD Baby, FUGA and Songtrust products.

    f. Conglomerate effects resulting from the conglomerate relationship between Downtown's delivery services segment of the A&L services market and UMG's offering in the wider A&L market.

Commitments

5. The Advisory Committee (13 Member States) agrees with the Commission's conclusion that the Updated Commitments offered by the Parties on 15 January 2026 remove the significant impediment to effective competition identified in the draft Decision.

6. The Advisory Committee (13 Member States) agrees with the Commission that, subject to the full compliance with the Updated Commitments offered by the Notifying Party on 15 January 2026, the notified transaction is not likely to significantly impede effective competition in the internal market or in a substantial part of it.

Compatibility with the internal market and the Agreement on the European Economic Area

7. The Advisory Committee (13 Member States) agrees with the Commission that the notified concentration must therefore be declared compatible with the internal market and the Agreement on the European Economic Area[2] in accordance with Article 2(2) and Article 8(2) of the Merger Regulation and Article 57 of the Agreement on the European Economic Area.

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[2] OJ L 1, 3.1.1994, p.3.